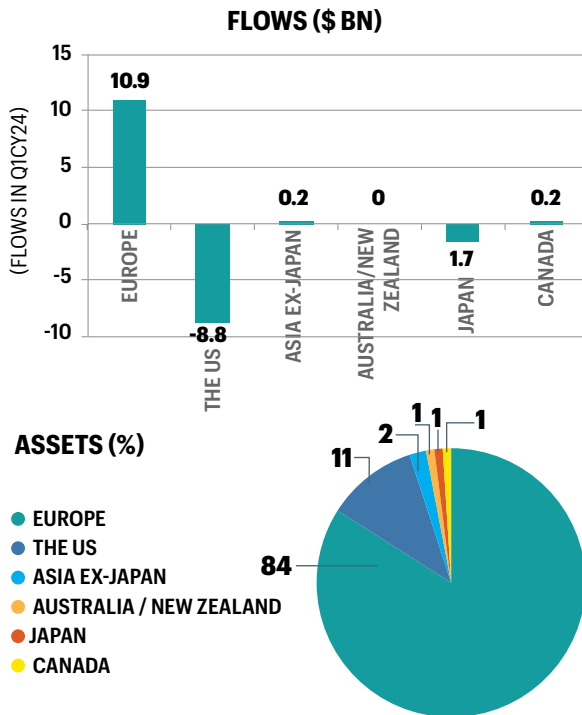


GLOBAL ORDER

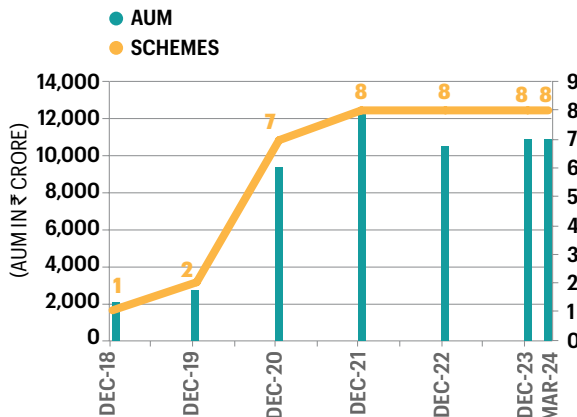
- Globally sustainable funds netted about \$1 billion in inflows in the January-March quarter of 2024. ● Europe accounts for the major share of assets at 84%



SOURCE MORNINGSTAR DIRECT

AUM OF ACTIVE ESG MFs

- The AUM of active ESG mutual funds grew from under ₹3,000 crore in December 2019 to ₹12,000 crore in December 2021
- After a decline, it has broadly remained in the ₹10,000-11,000 crore range



SOURCE MFI EXPLORER, SBI MF

Solicitors, is optimistic of Indian ESG funds picking up in the future, irrespective of the meltdown in some other markets, because decarbonisation remains a core theme for Indian industry.

“India adopted the ESG framework long after the US and Europe. We have learnt from their mistakes, with political leaders, regulators, investors, financial institutions, and the citizen being better aligned on the need for ESG investments,” Kapur tells *BT*.

The BRSR has made it possible for ESG analysts and fund managers to collate sector-level, issue-based data. Though there are questions about the quality of data, the situation is expected to improve with more companies coming under the ambit of the BRSR Core.

SBI's Shimpi explains that, for instance, it is now possible to see which retail company has the highest level of employee attrition and see if that has a correlation with lower productivity, sales, or high employee costs. “This has made ESG more quantitative and financially relatable than a qualitative summary that was merely a narrative and couldn't be related [to] financially,” he adds.

THE WAY AHEAD

One lacuna in India's ESG approach is the absence of a sectoral reporting framework that many other countries have adopted.

“There is a need for sector-specific reporting frameworks. The existing BRSR framework needs to be customised for all companies that are environmentally impactful in their sectors. Sector-specific formats will make the reporting framework more relatable from the preparer's perspective, besides improving its utility from a user/investor perspective,” says JSA's Kapur. Such measures could be incorporated in the future.

The world over, asset owners have taken a much larger role in ESG investments and mandated asset managers to apply an ESG lens to investing. In other places, a regulatory push has led to the incorporation of such strategies.

Green taxonomy is another grey area that needs attention. A sustainable taxonomy defining sectors and projects to attract green financing has been in the works for some time. But it hasn't been finalised yet.

However, all things considered, there is reason to be optimistic about India's ESG journey. Globally, the demand for such funds is higher among millennials and the GenZ. Considering India's demographic advantage here, ESG fund managers can justifiably feel hopeful. **BT**

@richajourno